

CHAPTER 3

PURCHASING/PROCUREMENT MANAGEMENT

3.1. Meaning and Role of Purchasing

All organization, big or small, business or non business, depend to a varying degree on materials and services acquired through a group of activities known as procurement. Goods and services may be acquired through purchasing, that involves exchange transaction, or other means of procurement, such as, gift, aid, etc. Procurement thus includes purchasing and other means of acquiring that do not require exchange transaction however, our detailed discussions are directed towards purchasing which involve the acquisition of materials and services in exchange for money.

Purchasing is a management function that consists of all the decisions, policies, and activities involved in the acquisition of goods and services in exchange for money. With the growing complexity of modern industrial organization for mass-production, mass-distribution and mass consumption the function of purchasing has also grown into complexity with the recognition of the fact that industries depend to a great extension a steady flow of materials supplied by others, and the cost of purchasing is a major component of the cost of the final product.

Purchasing can be carried out for resale or for consumption or conversion. Buyers who acquire materials for resale are known as merchants. Purchasing managers who buy materials for internal operation or conversion are called industrial buyers. Industrial buying is more complicated than buying for resale because industrial buying requires the involvement of many People in the organization. Industrial buyers participate in determining what products their organization should make, what manufacture, and what components or parts should be purchased from outside suppliers. They correlate their purchasing actions with sales forecasts and production schedules they select suppliers from whom purchases can be made on continuing and mutually profitable basis and most important, they integrate the efforts of their departments with those of other departments of the firm including finance, production, marketing, engineering and so on.

It should be noted that institutional buyers (College, School Hospital, etc.) and government buyers (City, Country, states, Regional administration etc.) are included in

the definition of industrial buyers. It should also clearly understand that purchasing is a supportive function to production and other user departments and is only a means to a given end, and not an end in itself.

The Place of Purchasing in Business

Purchasing is one of the basic functions common to all business. All businesses operate by coordinating and integrating these six main functions.

1. ***Creation*** The idea or design function
2. ***Finance*** The capital acquisition and financial record function.
3. ***Personnel*** The human resources and labor relations function
4. ***Purchasing*** Acquisition of required equipment, materials, and services.
5. ***Conversion*** The transformation of materials in economic goods.
6. ***Distribution*** The marketing and selling of goods produced.

Depending on company's size these basic functions may be supervised by a single manager or by individual managers for each function regardless of how they are put in the organization structure and supervised, the purchasing function must be still performed.

By its very nature, purchasing is a basic and integral part of business management. For business to be successful, all its individual parts must be successful. It is impossible for any organization to achieve its full potential without a successful purchasing effort. However, it should be clearly understood that not all purchasing departments are of equal importance to their respective organizations. Their importance varies widely depending on various factors such as the type of business, its goals its economic circumstances, and how the enterprise operates to achieve these goals.

3.2. The Objectives of Purchasing

The objective of purchasing can be viewed from three perspectives: from very general managerial level, from more specific functional/operational level and from a detailed strategic buying level.

1) From very general managerial level: when management expects to achieve the general objectives by using six right of purchasing. Such as ***the right quality, the right quantity, the right price, the right time, the right service, and the right supplier (place).***

The standard statement of the overall objectives of the purchasing function is obtaining the right materials (meeting quality requirements) in the right quantity, for delivery at the right time and right place from the right source (a vendor who is reliable and will meet its commitments in a timely fashion) with the right service (both before and after sale) and at the right price.

It is not efficient to buy at lower price, if the goods delivered are unsatisfactory from the viewpoint of quality/performance, or if they are too late behind the production schedule, causing a shutdown of a production line on the other hand, the right price may be a much higher than normal price if the item in question is an emergency requirement on which the buyer can not afford the luxury of adhering to the normal lead time. The purchasing decision-maker thus deals with these conflicting objectives and should attempt to obtain the optimum mix of the seven rights.

2) From more specific functional/operational level:

More specifically the overall objectives of purchasing will be described as follows:

1. *To support company operations by providing with an uninterrupted flow of materials supply and services:* Stock outs of raw materials and production parts would shut down an operation and be extremely costly in terms of lost production and inability to satisfy delivery promises to customers

2. *To buy competitively and wisely:* To buy competitively involves keeping abreast of the forces of supply and demand that regulate prices and availability of materials, to buy wisely involves a constant search for better values that yield the best combination of price, quality and service. For example a buyer who pays more for a product than a competitor is not buying competitively. A buyer who purchases silver when copper could perform the function just as well is not buying wisely.

3. *To keep inventory investment and losses* (due to deterioration, obsolescence, pilferage) **at a practical minimum:** keeping too much inventory may assure an uninterrupted material flow. But inventory assets require use of capital, which cannot be invested elsewhere resulting in capital tie up.

4. *To find or develop reliable and competent alternative sources of supply:* The success of purchasing department greatly depends on its capacity to locate or develop vendors,

analyze vendor capabilities and select the appropriate supplier who is responsible for the uninterrupted provision of materials at a reasonably minimum cost.

5. To develop and foster good vendor relations: Good supplier relations are invaluable because they are the chief sources of information for a firm and suppliers naturally direct their research, give advance information on new products and prices, and give better service to their permanent customers.

6. Maintain the organizations competitive position: An organization will be competitive if only it can control costs in order to protect profit margins. Purchase costs are the largest single element in the operation of a firm. The purchasing function is responsible for assuring the smooth flow of materials necessary to enable the production of goods and services and provision of services as required, meeting delivering commitments to the suppliers on which the success of any organization depends.

7. To achieve maximum integration with the other departments of the firm: This requires understanding the needs of the other departments so that these needs can be translated into support actions. The purchasing departments is required to support the other departments in one or more of its responsibilities it should be integrated and coordinated with the previously mentioned six functions of business so that the firm will successful in its operations.

8. To develop policies and procedures which permit accomplishment of the preceding seven objectives at the lowest reasonable operating cost.

3) From a detailed strategic buying level. It is usually annual objectives plans and focused on major categories of materials that the firms use in its operations. The objectives are generated from functional/operational level objectives. It is precise set of objectives for each material typically varies because of usage requirements, operating conditions and marketing conditions.

3.3 Purchasing policy and procedure

Purchasing policies are general statement of undertakings which guide or channel thinking and action in carrying out purchasing transactions and objectives in an optional manner. Policies are developed to serve as general guidelines in making operating decision that channel action towards achievement of objectives. They are one of the administrative tools of the executing unit and reflection of top management philosophy.

Auditors who check purchasing adherence to corporate policies can use them. The following are major policy examples:

1. policy defining purchasing responsibility plant firm

☞ Centralization versus Decentralization

When a firm uses a **decentralized purchasing policy**, individual departments production, engineering, marketing, finance, and personnel handle their own purchasing, i.e. they decide on sources of supply, negotiate with vendors directly, or perform and other major function of purchasing. The advantage of decentralization is that users know their departmental needs better than anyone else. It may also be faster because departments directly place orders.

Centralization of purchasing refers to the degree of delegation of purchasing authority rather than to the location of buying personnel. The extent to which the efficiencies functional specialization is realized when a firm creates a purchasing department depends largely on the authority delegated to that department. Centralization exists when the entire purchasing function is made the responsibility of a single department or person.

The ***advantages of centralized purchasing*** are so great in comparison with decentralized purchasing that almost all large firms are centralized. When used properly, centralized purchasing results in the following benefits:

1. Duplication of effort and haphazard purchasing practices are minimized by the central coordination of firms' purchases.
2. Quantity discounts are made possible by combining the requirements of different department for the same and similar materials. It also results in unified procurement policy.
3. Transportation savings are realized by consolidation of orders and delivery schedules, for shipments can be made in carload quantities.
4. Suppliers are able to offer better prices and better service because their expenses are reduced. Duplication of selling effort is minimized.
5. Responsibility for the performance of purchasing function is fixed with a single department head, thereby facilitating management control.
6. More effective inventory control is possible because of company wide knowledge of stock levels material usage, lead times and prices

7. It reduces record keeping and at the sometime record keeping is made significantly more effective.
8. It enables lines department managers to devote full time and effort to their basic responsibilities.
9. Centralized purchasing enables the development of specialization and expertise in purchasing decisions and operations. A full time buyer who can devote undivided attention to purchasing will rapidly develop expert knowledge of purchasing techniques, sources of supply, available and new materials and manufacturing processes, markets and prices. This development of expertise is the primary reason why almost all firms have gone to centralization of the purchasing function.

2. Policies affecting external relation ship and image

Good supplier relations contribute to the formation of good public image. The business organization may need to establish policies that promote relation ship with suppliers to receive good treatment and service.

3. Policies on pricing and supply source

Competitive bidding(the lowest qualified bidder will get the contract) and the use of negotiation, the size of sourcing firms, local firms, international firms, distributors and manufacturers selection criteria etc

4. policies on purchase orders and contracts

Identifies person authorized to sign purchase order and contracts, specifying the dollar amount that a person is authorized to sign.

5. policies on internal relationship

Policies should define the scope and responsibility of the purchasing function. These are related to line of authorities, channel or procedure, and department's relation ship.

6. policies on rush order

Rush orders are made under emergency situation. These orders should be received only when the user departments have justifiable reason to make the request because the rush orders cost more than if they were handled through the normal purchasing system. Higher price may be paid and thorough investigation may not be made on

purchases. Rush orders result from poor planning by user department so that it should be discouraged.

7. Policies on small orders

Small orders are permanent problems in most organizations. They are costly to the buyer and the seller alike. The following methods can minimize small order problems:

a. Centralized store system: when the same supplies are ordered in small quantity repeatedly, the solution is to order these items in large quantity and place them in a centralized inventory for withdrawal as needed. However carrying cost and inventory investment cost should be considered.

b. Blanket order system: a blanket order system helps solve the problem for the thousands of items a firm can't carry inventory or can carry it. Based on the analysis of the past purchase a buyer determines which materials should be handled in a blanket order. After bidding or negotiation, a buyer selects a supplier for each item or family of items and issues a blanket order to each supplier. The order includes the description of each item, a unit price for each item, when possible and other customary contract provision. The blanket order indicates the specific order quantities or only an estimated usage during the period of coverage. It also states that all requirements to be delivered upon receipt of a release form of the buyer or other authorized person. At the end of the period, the order may be renewed or placed with another firm depending on the suppliers' performance record.

8. Policy concerning to ethical practice: in business, ethics is concerned with a set of moral principles, values and norms

9. Policy related to time (buying policies)

The followings are purchasing policy areas related to timing policies. Such as: hand to mouth buying(stockless buying), market buying, open end/blanket buying, long-term contract buying, hedging and speculative buying.

In general, policies should establish clearly the centralized or decentralized purchasing needs: specify the purchasing function, responsibilities with respect to the development of material specification, supplier selection and price determination. Policies should also provide guidance for departmental personnel in conducting activities that influence the company's relationship with external individuals and external organizations.

3.4 Purchasing procedures

The procedures for purchasing describes the operating methods and instructions in a written form as Manual or Journals of purchasing to be followed as per the policy of purchasing to carry out duties and tasks of buying various materials of the organization needed for production or otherwise. This procedure is the best practice to be followed and identified through bench marking comparisons with leading firms. Procedures are information followed for successful purchasing strategies. There is no standard method describing this procedure but it will be guide to the new employees, purchasing persons, reference and clarification for experience personnel and a routine method to be followed. From time to time, management must review and evaluate the procedure of purchasing to suite the changes and development needed. Although procedures used in completing a total transaction normally vary among the different types of purchases, the general procedures followed in sound purchasing systems are indicated as follows:

1. Recognition of the need
2. Description of the need
3. Flow of purchase requisition
4. Determination and analysis of possible sources of supply.
5. Preparation and placement of purchase order
6. Acknowledgement and follow-up of the order
7. Receipt and inspection of materials
8. Auditing the invoice and payment of the supplier
9. Maintenance of records

1. Recognition of need: The need for a purchase typically originates in one of a firm's operating departments or in its inventory control section. The people responsible for a particular activity should know what the individual requirements of the unit are-what, how much and when it is needed. This may result in a material requisition on the stores department.

The purchasing department is responsible of helping to anticipate the needs of user departments. In addition, the purchasing department should inform user departments about price trends, general market conditions, and any other major changes for all standard purchased items.

2. Description of the desired need: No purchaser can be expected to buy without knowing exactly what the user departments want. For this reason, it is essential to have an accurate description of the need, the article, the commodity, or the service, which is required. At best an inaccurate description may result in some loss of time; at worst it may have serious financial consequences and cause disruption of supply, hard feelings internally, and loss of supplier respect and trust. Any questions regarding the accuracy of the description and specification of the materials should be referred back to the requisitioner and should not be settled unilaterally in the purchasing department.

Purchase requisition formats vary widely because each company designs its own format to simplify its own particular communication problems. The essential information, which every requisition should contain, however, includes the following:

- Date
- Serial number (identification)
- Originating department
- Budget account to be charged
- Description and quantity of the material
- Date the material required
- Any special shipping instructions
- Signature of authorized requisitioner

3. Flow of the purchase requisition: The user department generally makes a minimum of two copies. The original is forwarded to the purchasing department and the duplicate is retained in the requisitioner's file. It is important for the purchasing department to establish definitely who has the power to requisition or authorize. Under no circumstances should the purchasing department accept requisition form anyone other than those specifically authorized.

All requisitions should be checked carefully before any action is taken. The requested quantity should be based on anticipated needs and should be compared to economical purchasing quantities. The delivery date requested should allow for sufficient time to secure quotations and samples, if necessary and to execute the purchase order and obtain delivery. If insufficient time is allowed, or the date would involve additional expense, this should be brought to the attention of the requisitioner immediately.

4. Determination and analysis of possible sources of supply: As soon as a need has been established, described, and transferred to the purchasing department a buyer begins the investigation of vendors to select a source of supply. Supplier selection constitutes an important part of the purchasing function, and involves the location of qualified vendors and assessing the probability that a purchase agreement would result in on time delivery of satisfactory product and needed services both before and after the sale.

The purchase of a new or a high-value item may require a lengthy investigation of potential suppliers. After selecting a preliminary group of potential sources, the buyer may employ the techniques of competitive bidding or negotiation or both.

Competitive bidding is a discussed form of purchasing. It is one of the basic methods by which price can be determined. It is more often used by government organizations. When competitive bidding is used by private industry, requests for bids are traditionally sent to three to eight vendors, depending on the money value of the purchase. But government buyers generally are not able to restrict the number of bidders to only eight. Requests for bids ask vendors to quote the price at which they will perform in accordance with the terms and conditions of the order or contract, should they be the successful bidder.

Under competitive bidding, industrial buyers generally, but not always, give the order to the lowest bidder. By law, government buyers are routinely required to give the order to the lowest bidder, provided the lowest bidder is deemed qualified to perform the contract. The proper use of competitive bidding, as the best method, is subject to the following criteria, which enable competitive bidding to assure the buyer of obtaining the lowest possible price.

The money value of the specific purchase is large enough to justify the expense, to both buyer and seller that accompanies this method of pricing. In the case of Ethiopian government organizations, the minimum Birr value to use competitive bidding was birr 250.

The specifications of the material or service to be purchased are explicitly clear to both buyer and seller so that the seller knows the cost of producing the item or rendering the service.

The market consists of an adequate number of sellers.

The sellers comprising the market are technically qualified and actively want the contract and, therefore, are willing to price competitively to get it.

The time available is sufficient for using this method of pricing. The time required for preparing, mailing, opening and evaluating bids, and obtaining the best price should be considered.

As discussed earlier in detail, after the quotations of the prospective suppliers are analyzed, evaluation of bidders follows to select the best supplier. Accordingly, the bids are reviewed in terms of prices, discounts, shipping and delivery times. The reliability of the supplier, reciprocity, quality of work and other relevant factors are also considered in rating and determining the best source of supply.

5. Preparation and placement of purchase order: Once a supplier has been selected, the purchasing department issues a serially numbered purchase order. It should be emphasized that in most cases the purchase order becomes a binding contract if it is accepted by the supplier. For this reason, the purchasing department should take great care in preparing and wording the order. The order should include all data required to ensure a satisfactory contract, and it should be worded in a manner which leaves little room for misinterpretation by either party. Quantity requirements, price, delivery requirements, and quality specifications must be described accurately. Engineering drawings, if necessary, must be incorporated clearly by reference. In the event sampling inspection is to be used, sampling plans and conditions of acceptance should be stated on the order. Similarly, any other important factor affecting the acceptability of the product should be precisely stated.

In addition to those provisions, which are unique to each contract, most firms also include as part of every contract a series of terms and conditions that are designed to govern the relations between the buyer and the seller. These conditions are extremely important and the question of what should and what should not be included is the subject to a good deal of discussion. These terms are legal protections to the buyer concerning:

- Contract acceptance
- Delivery performance and contract termination
- Shipment rejections
- Assignment and subcontracting of the order

- patent rights and infringements
- Warranties
- Compliance with legal regulations
- Invoicing and payment procedure

Most firms prepare their purchase orders on multipart snap-out forms. These multipart forms provide enough copies of the order to satisfy both internal and external communication needs.

The minimum number of copies most commonly used is five:

- Original copy is sent to the supplier
- Second copy informs the accounting department for use in checking and issuing payment for the seller's invoice.
- Copy 3 advises the receiving department that can expect receipt of shipment at a particular date. Receiving uses its copy to identify and check the incoming shipment.
- Copy 4 informs the user department of the details of the order so it can plan its work and budget accordingly.
- Copy 5 remains in the purchasing department open order file and is often used for purposes of order follow-up and expediting.

6. Follow-up and expediting the order: When an order is a vendor, it can take one of two forms: (1) Performance of the contract or (2) formal notification that he accepts the offer. Sometimes firms may prepare one additional copy of the purchase order that is to be sent to the supplier. The purpose of sending the supplier an acknowledgement copy is two fold. First it is a form he can conveniently complete and return to the buyer, acknowledging acceptance of the order. At the same time, he can indicate whether or not he is able to meet the desired delivery date. If a supplier ships the ordered item immediately from stock, he/she frequently disregards the acknowledgement form.

After a purchase order has been issued to a vendor, the responsibility of purchasing does not terminate with making a satisfactory contract. Purchasing bears full responsibility of order until the material is received, inspected and accepted. At the time the order is placed, an appropriate follow-up date is often specified simultaneously. With the help of the follow-up copy of the purchase order, the buyer tracks an order to assure that the

vendor will be able to meet delivery promises and other requirements of the purchase order.

In the systems, follow-up communication with the supplier usually takes two forms. A letter, a telephone call, or a visit to the supplier plant is typically used for most critical orders. Routine follow-up for the less critical orders is usually accomplished by mailing an inquiry or postal card to the supplier.

7. Receipt and Inspection

The proper arrival, receipt, and inspection of materials are of vital importance. When a supplier ships the materials as per order, he includes in the shipping container a packing list that itemizes and describes the contents of the shipment. The receiving clerk uses this packing slip in conjunction with his copy of the purchase order to verify that the correct material has been received.

After a shipment has been inspected for quantity and for other general conditions of the contract, the receiving clerk prepares a receiving report using the purchase order along with the packing list. Receiving report is usually accompanied by technical inspection.

Copies of the receiving are often prepared in four copies and their distribution is as follows.

- Original copy used by accounting department in reviewing the order for payment and settling the account
- Second copy is used by the purchasing department in closing out its working file of the order
- Third copy is sent to inventory control section for stock control purposes
- Fourth copy is retained in the receiving department's operating record file.

8. Clearing the Invoices and Payment

Since the invoice constitutes a definite claim against the buyer, it needs to be handled with great care. Procedures related to invoice clearance however, are not uniform. In some firms checking and approval of the invoice is the function of purchasing. In others it is the responsibility of accounting department. Whichever procedure is followed, the invoice must be checked and audited.

A typical procedure involves a simultaneous review of the purchase order, the receiving report, and the invoice. By checking the receiving report against the purchase order, the purchaser determines whether the quantity and type of material ordered was in fact received. Then by comparing the invoice with the purchase order and receiving report he verifies that the supplier's bill is priced correctly and that it covers the proper quantity of acceptable material.

The prime reason for having invoices checked in the purchasing department is that this is where the original agreement was made. If discrepancies exist, immediate action can be taken by purchasing. In cases where purchasing does the invoice checking the following procedure applies: after being checked and adjusted for any necessary corrections, the invoice is retained in the purchasing department until it receives notification from the receiving department in the form of receiving report. Then it checks the report against the invoice, and if the receiving report and invoice agree, the purchasing department keeps both documents until it receives assurance from inspection that the goods are acceptable. Finally, the purchasing department forwards the original receiving report from the receiving department and the invoice to the accounting department to effect payment.

9. Maintenance of records

The next step is to close the order by completing the records of the purchasing department. This operation involves little more than assembling and filing the purchasing department's copies of the documents relating to the order and transferring to appropriate records of the information the department may wish to keep. Most companies differentiate between the various forms and records as to their importance. For example a purchase order constitutes evidence of a contract with an outside party and as such may well be retained much longer than the requisition, which is an internal memorandum.

3.5 Supplier Selection:

Why is supplier selection important?

The purchasing process consists of different steps among which supplier selection is one of the main steps. Supplier selection is often a strategic multi criteria decision, since that way of working often seems to be the best way of lining the supplier selection process with a company strategy or with a company's overall goals. Finding the right supplier can bring cost efficiency in to both goods and service purchasing, which often

leads to a company's competitiveness. The selection of the right suppliers also has a significant role regarding quality assurance of a corporate organization outputs.

The process of supplier selection can be described or divided into four steps: defining the supplier selection criteria, narrowing down the supplier alternatives, final selection and continuous evaluation.

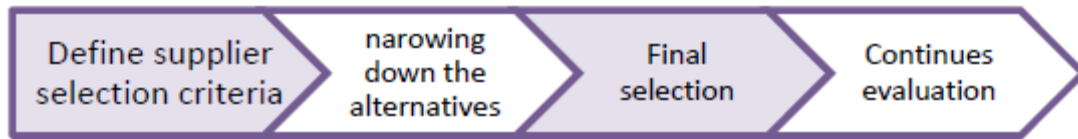


Figure ‘a’ Supplier selection process

What criteria should decision makers focus on?

To be able to pick the right supplier, a selection criteria needs to be defined and after that the supplier selection decision needs to be based on these criteria. Although many researchers have defined different types of criteria for suppliers selection, these criteria can be grouped in to four broad areas; i.e. **Competitive pricing, Reliability, Service, and Technological capability**. It is here worth mentioning that these supplier criteria often are both of qualitative and quantitative approaches which sometimes lead to different types of conflicts. Other more specific main criteria that companies often focus on are: quality, price, delivery lead time, performance history and technical capabilities.

The supplier criteria do not have the same weight for all kinds of companies. Other types of criteria have also come into this arena because of increasing attention on global purchasing and supply chain management. One example of new criteria in this area is those based on factors regarding environmental impact. Companies do often now for example consider the emission level of their suppliers in the selection process. Also Agility and Total Quality Management (TQM) factors are new criteria that have been added to the agenda within this field. It is important to remember that depending on the area of company's competence and on the company's overall strategy some of these just mentioned criteria play a more important role than others.

Since supplier selection is a complex multi-criteria decision which has a dominant impact on the corporate strategy, a systematic method is required to accomplish the critical action of supplier selection. The complexity of a whole supply chains or the complexity

of a wide global network of suppliers do also contribute to the complexity within this area.

To assist the decision makers many methods and tools have been introduced and applied.

Key factors for supplier selection

In the supplier selection process companies use a selection of criteria in order to determine whether the supplier lives up to the standard or not. The most important supplier selections criteria's is quality that consistently is on the top of the list of important supplier assessment criteria. Delivery precision is often mentioned as another important. Price is often considered to be an important selection criteria, although some studies indicates that it is becoming less important because of, among other reasons, closer supplier-customer relationships and less multiple sourcing. Other selection criteria that are considered important are capability, commitment to continuous improvements; customer service and flexibility. In summary, the following key factors should be considered while supplier selection.

Quality, delivery precision, price, capability, continuous improvement, customer service, flexibility and environment.

Sources of Information about suppliers: Knowledge of sources is a primary qualification for any effective buyer. Although some buyers rely on memory and experience for knowledge of sources of supply, competent buyers more correctly rely on their records, published material and personal contacts. Source of information concerning suppliers is plentiful. A relevant Source of supplier information a list of past and present suppliers, which include:

- ✓ Name and address each supplier.
- ✓ List of materials (including specifications) he can supply.
- ✓ His/her delivery service.
- ✓ General information concerning his plant and management.

The following information sources should prove helpful to a buyer in establishing a list of potential suppliers.

Supplier's information purchasing file, Supplier catalogs, Trade registers and directors, Trade journals, Telephone directories (The yellow pages), Filing of mailing pieces, Sales

personnel, Trade from suppliers, Visits from suppliers, Visits to suppliers, Advertisements.

3.6. Make or Buy decisions: These types of decisions are the policy decisions of the management. The capacity of the organization and the various facility developed by the organization to manufacture various items is the main objective of every organization. This is the important planning activity of every undertaking. But when a company grows fast, its sales increases at rapid rate then it becomes an important matter to decide whether the company should buy the parts and components or increase and establish its facilities to cope up with the increased demand and sales. This will be greatly concern to materials management department. It will help in selecting the suppliers to buy the items at reduced cost. The material evaluation, its availability, alternative materials selection, procurement and inventory control are the functions influence the make and buy decisions. The make and buy decisions are largely based on cost economics and cost benefit analysis made by the organization using the existing production capacity of labor, skill and machines available with the factory and how best they can be utilized.

Generally, it is not always correct to assume that making items in house is more profitable than buying; even though the organization has capacity to make. Due to different reason buying from outside could be attractive than in house production

The following considerations are which favor making materials:

1. cost considerations(less expensive to make the part)
2. desire top integrate plant operations
3. productive use of excess capacity to help absorb fixed overhead
4. need to exert direct control over production
5. design secrecy required
6. unreliable suppliers
7. desire to maintain a stable work force

The following considerations are which favor buying materials:

1. limited production facilities
2. cost of considerations(less expensive to buy the part)
3. small volume requirements
4. suppliers research and specialized know- how

5. desire to maintain a stable work force
6. indirect managerial control considerations
7. desire to maintain multiple policy

3.7. Global Sourcing

A source is literally defined as the point to purchase the inputs to produce goods or services.

Sourcing is defined as the act of securing parts, supplies, materials, services¹ and other items to support production.

Companies purchase resources from different locations, based on the scope of their activities or services.

Global sourcing is a sourcing strategy with the intention of taking advantage from global efficiencies in the purchasing; initially define as a defensive tactic toward lower prices of foreign products. In other words, global sourcing can be defined as strategic sourcing in today's global setting where international supply management plays a key role in companies' overall competitiveness.

❖ Why global sourcing?

Why now? To create competitive advantage in today's volatile marketplace.

A firm that chooses to keep the production of an intermediate input within its boundaries can produce it at home or in a foreign country.

When it keeps it at home, it engages in standard vertical integration.

And when it makes it abroad, it engages in foreign direct investment (FDI) and intrafirm trade. Alternatively, a firm may choose to outsource an input in the home country or in a foreign country. When it buys the input at home, it engages in domestic outsourcing. And when it buys it abroad, it engages in foreign outsourcing.

A company that investigates for feasible places to find resources which can support its production is in fact employing a global sourcing strategy. Basically, existence of Global sourcing is due to supply and price differences in diverse resources. It is also clear that when local supplies are not satisfactory or the relative costs are very high, the firm begins to look for possible options in other places.

The global sourcing, similar to many other concepts, comes with specific benefits (and disadvantages) which can go beyond the initial lower cost. Such benefits can include: the

learning of possible ways to do business in a potential market, acquirement of international skills or access to resources which might not be available locally, stimulate competition through development of alternate supplier or vendor sources, and capacity growth of the total supply.

In contrast, while working with each country entails specific complexities and is unique, there are risks associated with global sourcing. There are five key drivers shaping the global purchasing industry

1. Politics 2. Infrastructure 3. Currency 4. Climate 5. Culture

Another issue might be the alignment of the sourcing strategy and the company's other main strategies, in cases like "just in time" (JIT) production, the production strategy is completely in favour of local suppliers (Burt, et al., 1996), especially if there would be high variation in the needed supplies.

A number of major drawbacks with global sourcing can be: increased transportation costs, increased possibilities of supplies interruption which can be caused by natural disasters or political problems for example, also longer lead-times and possibility for delays caused by weather problems for example, dependency on foreign sources of supply and unexpected disastrous situations caused by change in the political climate or weather. Global sourcing disadvantages might also include the hidden costs connected with cultural differences and time zones, financial and political risks due to changing economies, increased risk of intellectual property loss, and increased monitoring costs in comparison to domestic supply.